

# THE WALL STREET JOURNAL.

## What's News

### Business & Finance

- ◆ **Mortgage rates edged** down to their lowest level of the year to 6.58%, offering a dash of hope to prospective buyers who have been forced to the sidelines by elevated rates and home prices. **A1**
- ◆ **Wholesale prices** rose at the sharpest monthly rate in three years, raising fears that tariffs are pushing up inflation. **A2**
- ◆ **The stock market's rally** stalled after the report. The Dow and Nasdaq each lost less than 0.1% while the S&P 500 rose less than 0.1% for its 18th record close of 2025. **B9**
- ◆ **U.S. exports** of distilled spirits to Canada have fallen 62% and wine exports dropped 67%, since Trump initiated a series of trade battles early this year, an industry group says. **A1**
- ◆ **Workers across** nearly all age groups are investing record portions of their 401(k) accounts in equities. **A1**
- ◆ **Intel and the Trump** administration are discussing the possibility of the U.S. government taking a financial stake in the troubled chip maker, according to people familiar with the matter. **A2**
- ◆ **Electric truck maker** Rivian says the rollback of U.S. fuel-economy rules is holding up \$100 million of revenue. **B1**
- ◆ **Warren Buffett's** Berkshire Hathaway sold shares in Apple during the second quarter, further paring its position. **B1**
- ◆ **Ulta and Target** are ending a four-year partnership. **B1**
- ◆ **Tapestry shares tumbled** after the company forecast a difficult year ahead for its Kate Spade brand. **B2**
- ◆ **Deere lowered** the high end of its full-year outlook. **B3**

### World-Wide

- ◆ **Attorney General Bondi** named DEA Administrator Terry Cole head of the Washington, D.C., police and said she would rescind any local policies limiting officers' ability to inquire about a person's immigration status. **A3**
- ◆ **A growing number** of blue cities and states across the country, from Washington state to Rhode Island, are looking at ways to wring more revenue from their richest taxpayers. **A1**
- ◆ **Far-right Finance Minister** Bezalel Smotrich said Israel would move ahead with a settlement expansion near East Jerusalem that would complicate prospects for a Palestinian state. **A7**
- ◆ **Trump plans to hold** a joint news conference with Russia's Putin after their meeting Friday in Alaska. **A7**
- ◆ **Nike co-founder** Phil Knight and his wife, Penny, are donating \$2 billion to Oregon Health & Science University's Knight Cancer Institute. **A3**
- ◆ **This summer** has been one of the stickiest ever across the East Coast, according to a new metric. **A3**
- ◆ **California Democrats** are planning their own early redistricting to counter Trump's push for a congressional map shake-up. **A4**
- ◆ **Florida plans** to open a second state-run immigration detention center, as legal challenges continue over the facility in the Everglades known as "Alligator Alcatraz." **A4**
- ◆ **Firefighters scrambled** to control a wind-driven wildfire that erupted in northwestern Los Angeles County. **A5**

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## Scorching Summer Leaves Icky, Sticky Feeling



**BAKED APPLE:** People sheltered themselves from the sun in New York's Times Square on Thursday as temperatures hit the high 80s. A newly devised 'stickiness index' shows much of the U.S. is well above normal levels of heat and humidity. **A3**

## Blue States Seek Ways to Pull More Taxes From the Wealthy

'Taylor Swift tax,' among other levies, targets the rich. Will they be driven away?

By JULIET CHUNG

A growing number of blue cities and states across the country, from Washington state to Rhode Island, are looking at ways to wring more revenue from their richest taxpayers.

Lawmakers are boosting tax rates on robust annual incomes, hiking capital-gains taxes, and putting new levies

on luxury vacation homes.

Some state legislators have proposed higher taxes in response to projected shortfalls in federal funding related to President Trump's new tax law, which extends a broad federal tax cut to the wealthy. The law also makes deep cuts to funding for such programs as Medicaid, pressuring states to make up the shortfall.

"This is an attempt to acknowledge that people who are being richly rewarded by the economy in its current form are people who are going to disproportionately benefit from the bill passed by Congress,"

said Minnesota state Rep. Aisha Gomez, a Democrat who sponsored legislation to implement a higher tax rate for joint filers in Minnesota making over \$1 million a year if federal Medicaid cuts take effect.

Other lawmakers are trying to address existing state budget deficits.

Some legislators considering potential taxes on rich residents of their states have been inspired by the billions of dollars Massachusetts has collected since it implemented an income surtax on those earning more than \$1 million.

Connecticut legislators

have proposed a bill that would raise income-tax rates on couples making at least \$500,000 and individuals making at least \$250,000 to offset expected federal-funding losses. Washington Gov. Bob Ferguson, a Democrat, in May signed into law a budget that includes an increase in the capital-gains tax, among other things, citing the state's budget deficit as well as expected cuts to federal funding.

Maryland Gov. Wes Moore, *Please turn to page A5*

◆ **'Universal basic income' gets tech moguls' backing.....** **A5**

## Canadian Boycott Clubs U.S. Alcohol Industry

By LAURA COOPER  
AND VIPAL MONGA

Canada's prohibition on U.S. alcohol is creating a headache for American liquor and winemakers.

On the shelves of many Canadian liquor stores, bottles of Jack Daniel's, Maker's Mark and Sailor Jerry Spiced Rum are nowhere to be found. Thousands of bottles of U.S. wine and spirits sit in storage across the country. At tastings, Canadian drinkers are turning their noses up at U.S. alcohol.

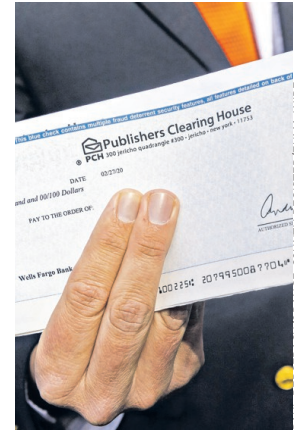
After President Trump initiated a series of trade battles with Canada this year, Canadian provinces, which largely handle alcohol imports and distribution in the country, stopped placing orders for U.S.-made spirits, beer and wine. In liquor stores, clerks pulled U.S. brands off shelves, replacing them with Canadian products.

Mike Brisebois, who runs a digital magazine called The Whisky Explorer, held a tasting in June where he served only Canadian, Irish and Scotch whiskies—on the recommendation of his guests. "The general theme was that they were boycotting the U.S.," he said.

In the roughly six months that have passed since the U.S.-Canada trade spat kicked off, the hit to the U.S. alcohol industry is coming into view.

The Distilled Spirits Council, an industry group, estimated

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**BUSINESS & FINANCE**  
Publishers Clearing House's failure leaves winners without prize money. **B1**



**MANSION**  
To make way for a new bridge, Massachusetts is decimating a Cape Cod neighborhood. **M1**

## A Mystery Around Soft Balls Is Rocking the World of Cricket

Sport has turned its ire on an 80-year-old Englishman, saying his 'cherries' are faulty

By JOE WALLACE

For almost four decades, Dilip Jajodia has swelled with pride watching English cricketers gallop up to the pitch to hurl red leather balls made in his tiny London workshop.

This year, the 80-year-old ball maker has had the summer from hell.

Over five ill-tempered matches in which India's captain accused England of violating the fabled code of ethics known as the "Spirit of Cricket," the only thing uniting the sides was railing

against Jajodia's product.

Their complaint: The balls were going soft, tilting the game in the batting team's favor.

"We've had a bit of a nightmare," said Jajodia, whose company makes Dukes, English cricket's premier brand of ball for 260 years.

Unlike baseball, where dozens of balls are used in a game, cricket balls endure hours of bashing and buffing.

Bowling (pitching) sides treat the "cherry" reverentially, shining one side on their trousers to keep it

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Bawl maker

## POW Trade Booms In Ukraine War

Kyiv and Moscow opened unusual back channel to repatriate captured troops

KYIV, Ukraine—Europe's largest wave of prisoner exchanges since the wake of

By *Matthew Luxmoore, Drew Hinshaw and Joe Parkinson*

World War II was set in motion when a Ukrainian soldier reached into the pocket of a dead Russian officer and found a phone.

The device landed in the hands of Brig. Gen. Dmytro

Usov, a deputy to the head of Ukraine's HUR military intelligence service, which had just lost two of its men northwest of Kyiv. Russia's invasion of Ukraine was only three weeks old, and the phone presented a way to retrieve their remains.

Usov, a career intelligence officer with a trim gray-streaked beard, scrolled through the deceased's phone book and pressed "call" on a

*Please turn to page A6*

## Americans Pour Funds Into Stocks in 401(k)s

By ANNE TERGESEN  
AND HANNAH ERIN LANG

Americans' nest eggs are increasingly tied to the fate of the stock market.

Workers across nearly all age groups are investing record portions of their 401(k) accounts in equities. After years of relentless market gains, they are either allocating more to stocks or having it done for them by money managers.

Workers in their late 30s had 88% of their 401(k)s in stocks last year, versus 82% a decade earlier, according to Vanguard Group, which examined the average stock allocations of the millions of people in the plans it administers. 401(k) investors in their early

60s had allocations to stocks of 60%, up from 57% a decade ago.

Even in target-date funds, which move money from stocks to bonds as retirement approaches, more is going into stocks. At the end of 2024, the average equity allocation for workers in target-date funds just beginning their careers was 92%, according to Morningstar, up from 85% in 2014.

It is a bullish bet that has paid off during the market's rise but stands to inflict bigger losses in a market downturn than a traditional portfolio of 60% stocks and 40% bonds. The S&P 500 is up 10% so far this year, edging up to its 18th record of the year on Thursday.

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